

the Target Percentage Adjustment.” The basic premise of his rule is that retirees are willing to forgo an inflation increase but will never want to accept a decrease in their nominal spending. They will have a certain lifestyle in mind that will rarely necessitate increasing spending in real terms, so there is no need for such an option. Essentially, retirees would like to increase spending with inflation but will forego some increase when necessary. This works in the opposite direction of the Kitces ratcheting rule, since it holds that spending never increases in real terms, but it can decrease in real terms. (Remember that keeping spending level when there is inflation means that real spending has declined.)

With this perspective, the question becomes when it is or is not acceptable to take a full inflation adjustment for spending. Zolt’s method relies on building a capital needs analysis to determine a glide path for wealth throughout retirement. Full spending increases for inflation are made in years when actual remaining wealth exceeds required remaining wealth at that point of time, and full inflation adjustments are not made in years when actual remaining wealth falls below the required amount as determined by the glide path at that point.

Exhibit 6.13 illustrates the required wealth glide path for the baseline example provided in Zolt’s 2013 article. To be clear, other glide path assumptions could be developed. He illustrated an assumed 4 percent initial spending rate, 3 percent inflation throughout retirement, and a forty-five-year planning horizon. With this desired spending path, a 6.1 percent compounded return is required to ensure that spending goals can be met and that remaining wealth precisely depletes after the withdrawal at year forty-five. With these assumptions, the figure shows that wealth continues to grow until year twenty-four of retirement, when it reaches \$129.00 from an initial base of \$100.00. Then, wealth declines for the remainder of retirement before reaching \$0.00 at the end. The \$4.00 initial spending amount grows to \$14.69 after forty-five years of 3 percent compounding inflation. Again, this wealth glide path is used to determine the types of spending adjustments made throughout retirement. In years when remaining wealth exceeds the glide path level, a full inflation increase is made. But when wealth falls below this required level, the full increase is not made.

Exhibit 6.13